


HAT1 FINANCIAL REPORTING · 2026

# Liebherr Group

## Financial Reporting and Investment Analysis 2022–2025

CENTRAL QUESTION

**Should a long-term investor take a minority stake in Liebherr – and if not, why not yet?**

**Benchmark: Caterpillar Inc. and the average of 105 listed US machinery companies**

PRESENTED BY

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THE ANSWER FIRST

# Financially sound – but not yet an adequate return

## Four findings decide the investment case

STRENGTH

**53.5 %**

**Equity ratio 2025**

Cash and current financial assets cover current debt **2.6 times**.

WEAKNESS

**2.8 %**

**Operating margin 2025**

Less than a fifth of Caterpillar (17.2 %) and the industry (15.9 %).

WEAKNESS

**–€176 m**

**Free cash flow 2025**

Negative in three of four years – investment runs ahead of cash generation.

ACCOUNTING

**1.6–2.8 %**

**Margin range in our tests**

The measurable accounting effects point to a **weaker**, not a stronger result.

**Not yet.** **Do not invest at present – reassess the case on the 2026 financial statements.**

Source: Report, Executive summary and chapters 7–8; Excel workbook, sheet Dashboard

# Diversification kept Liebherr growing while construction weakened

| €14,772 m | 55,963 | 13 | 1949 |
|---|---|---|---|
| Revenue 2025, +1.0 % | Employees | Product segments | Family-owned · Bulle (CH) |

**Revenue 2025 by sector**

| 63.3 % · Construction & mining · −5.5 % | 36.7 % · Other · +14.7 % |
|---|---|

**€9,345 m vs. €5,427 m – components alone grew 35.5 %**



## External pressures

- **Demand:** European construction output forecast to grow only about 2 % a year until 2028
- **Prices and costs:** US tariffs and low-cost competitors – reported by Liebherr for its cranes
- **Financing:** ECB main refinancing rate 2.65 % (Sept. 2026) – machines cost customers more to finance

**STRATEGY → FIGURES**

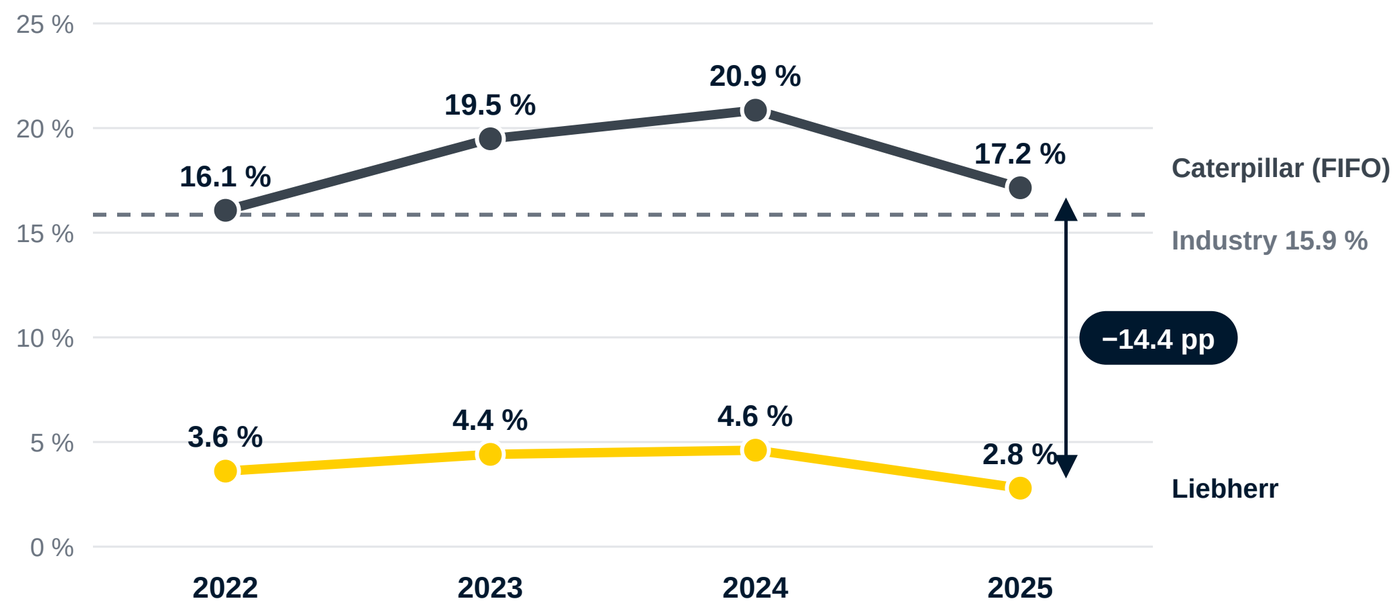
In-house production, own sales companies and financing from retained profit should show as **high inventories** and a **high equity ratio**.

Source: Report, chapters 2 and 3 (§3.1.1, §3.2); Liebherr-International AG (2026); EUROCONSTRUCT (2026); European Central Bank (2026)

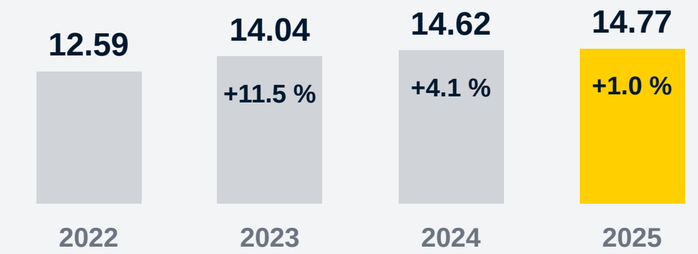
# Growth has stalled and the margin fell to 2.8 %

## Operating margin 2022–2025: Liebherr vs. Caterpillar vs. US machinery industry

### Operating margin, in % of revenue




### Revenue, € bn · growth




### Margin bridge 2024 → 2025




contribution in percentage points of revenue

**INVESTOR LENS** **Each percentage point of margin is worth about €148 m of operating profit**

Source: Report §5.2, Figure 1 and Figure J2; Excel workbook, sheets D6, D10 and Dashboard. Caterpillar on the FIFO basis; industry = Damodaran (2026c), 2025 reference level

ACCOUNTING ANALYSIS

# Key figures rest on judgements we cannot verify

## Most room for judgement: inventories, provisions and fixed assets

**REPORTING LIMIT** **Summary statements only (ISA 810) · full audited statements not public · no segment note (IFRS 8 not applicable)**

INVENTORIES · IAS 2

**€6,341 m**

36.3 % of total assets

- Overhead allocated at a “normal capacity” that is not defined
- Allowance for obsolete stock not disclosed

PROVISIONS · IAS 37

**€864 m**

of which warranty €530 m

- Gross reversals rose from €90 m (2022) to €143 m (2025)
- But the net charge stayed flat: €195 m → €194 m

PP&E · IAS 16 / IAS 38

**€4,304 m**

25 % of total assets

- Depreciation 5.5 % of cost vs. 6.6 % at Caterpillar
- No development costs capitalised – but own work capitalised €317 m = 77 % of operating result

**RED-FLAG SCREEN**

9 tests over 4 years

**4** flags raised

**3** clean

**2** not testable

**INVESTOR LENS** **The 2025 operating result is not a reliable base for extrapolation**

Source: Report §4.1–4.4, Appendix G (Table G2) and Appendix H (Table H1); Excel workbook, sheets C2 and D9

# Adjusting for comparability widens the gap

## Actual adjustment (Caterpillar) vs. illustrative sensitivities (Liebherr)

ACTUAL ADJUSTMENT · BOOKED IN THE WORKBOOK

### Caterpillar: inventories restated LIFO → FIFO

IAS 2 prohibits LIFO and Liebherr does not use it. The disclosed LIFO reserve makes the correction exact, not estimated.

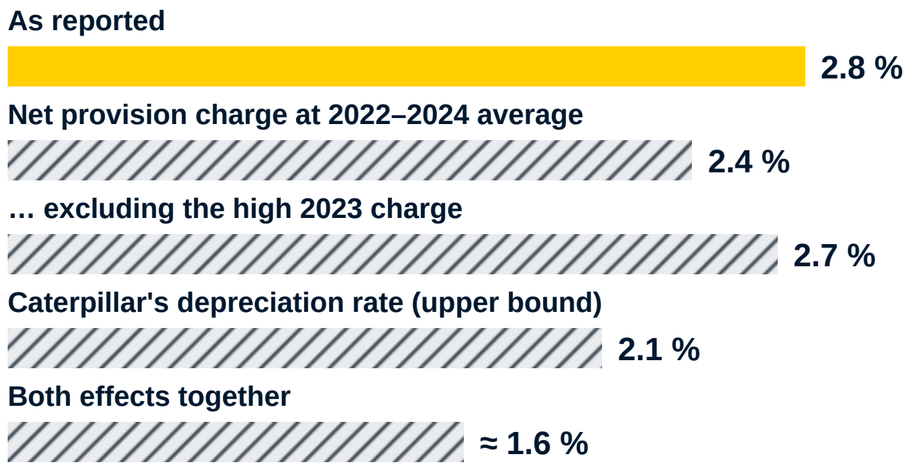
| Inventories (LIFO) | | LIFO reserve | | FIFO basis |
|---|---|---|---|---|
| $18,135 m | + | $4,305 m | = | $22,440 m |

| Equity (before tax) | Operating profit 2025 | Operating margin |
|---|---|---|
| +$4,305 m | +$441 m | 16.5 → 17.2 % |

**Also reclassified:** Caterpillar's 2022 goodwill impairment of $925 m as non-recurring. At equal depreciation the gap would be up to **15.1 pp** instead of 14.4 pp.

ILLUSTRATIVE SENSITIVITY · NOT BOOKED

### Liebherr operating margin 2025 under the findings




Own work capitalised cannot be measured. The equity ratio would still be **50.4 %** at Caterpillar's depreciation rate – the balance sheet strength holds.

INVESTOR LENS **Accounting does not rescue the case – the reported 2.8 % is, if anything, flattered**

Source: Report §4.4, §6.1, Table J9 and Table H3; Excel workbook, sheets C1 (block A), D9 and D11. Caterpillar figures in USD m, Liebherr in € m – never combined

# A strong balance sheet is financing a cash shortfall

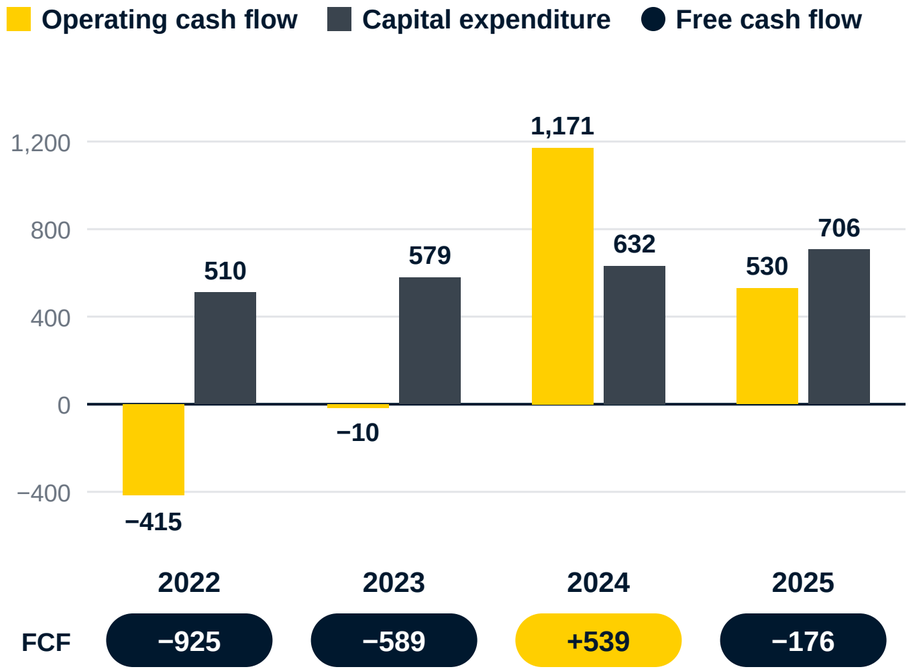
## Liquidity and solvency are solid – but investment runs ahead of operating cash flow

**53.5 %**
**Equity ratio 2025**
Bank and lease liabilities 23.7 % of capital vs. 39.3 % industry

**2.6×**
**Cash cover of current debt**
€3,147 m cash and current financial assets vs. €1,215 m

**2.90×**
**Debt / EBITDA 2025**
Up from 2.14 in 2024 – above the industry's 2.30

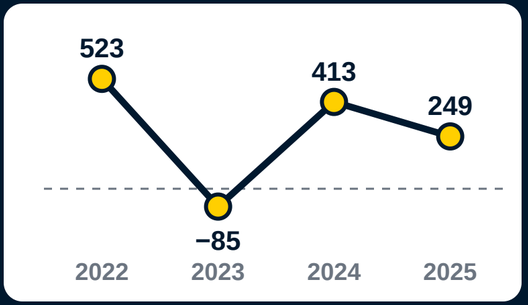
### Operating cash flow vs. capital expenditure, € m




**2022–2025 CUMULATIVE**

Capex **€2,427 m** vs. operating cash flow **€1,276 m** = **190 %**

**NET FINANCIAL POSITION, € m**




Covers the 2025 shortfall after distributions (€232 m) for only **≈ 1.1 years**.

**INVESTOR LENS** **Low risk of distress – but the cushion is shrinking**

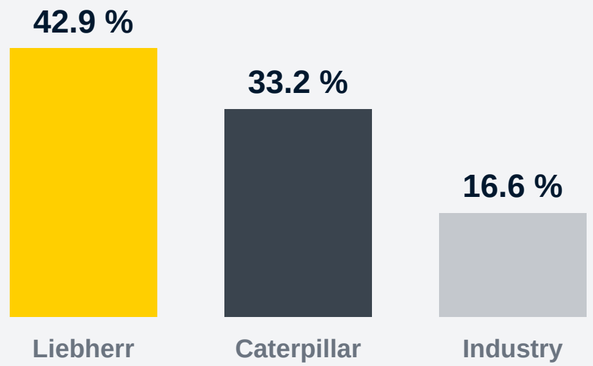
Source: Report §5.5–5.6, Figures 3 and 4, Table 2; Excel workbook, sheets D3, D5, D7 and Dashboard; industry: Damodaran (2026b)

WORKING CAPITAL

# Inventories tie up 42.9 % of revenue

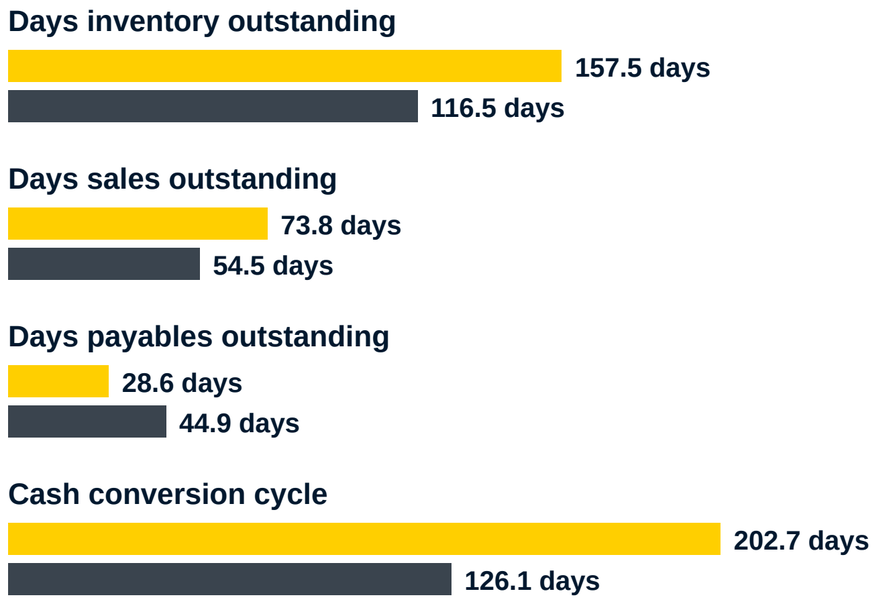
**2.6 times the industry average – the cash conversion cycle is a revenue-based proxy**

## Inventories in % of revenue, 2025




- Causes: in-house production, long order cycles, stock held by own sales companies
- Finished goods alone: €2,490 m

## Working-capital days 2025 (revenue basis)




THE LEVER

**€405 m**

released by a cycle **10 days shorter** (€40.5 m revenue a day)

**… but only once. A lasting turnaround needs margin.**

INVESTOR LENS **77 days longer cash cycle than Caterpillar – limits Liebherr’s financial flexibility**

Source: Report §5.4, Figure 2b, Table J5; Excel workbook, sheets D3 (block E) and Dashboard; industry: Damodaran (2026e). Days on a revenue basis – a proxy, as Liebherr reports no cost of sales

EXCEL WORKBOOK

# Every figure is traceable, reconciled and documented

**A1–A4** — **Published statements**
Typed exactly as printed (blue)

**B1–B3** — **Recast into one format by nature**
Formulas only · 21 mapping decisions

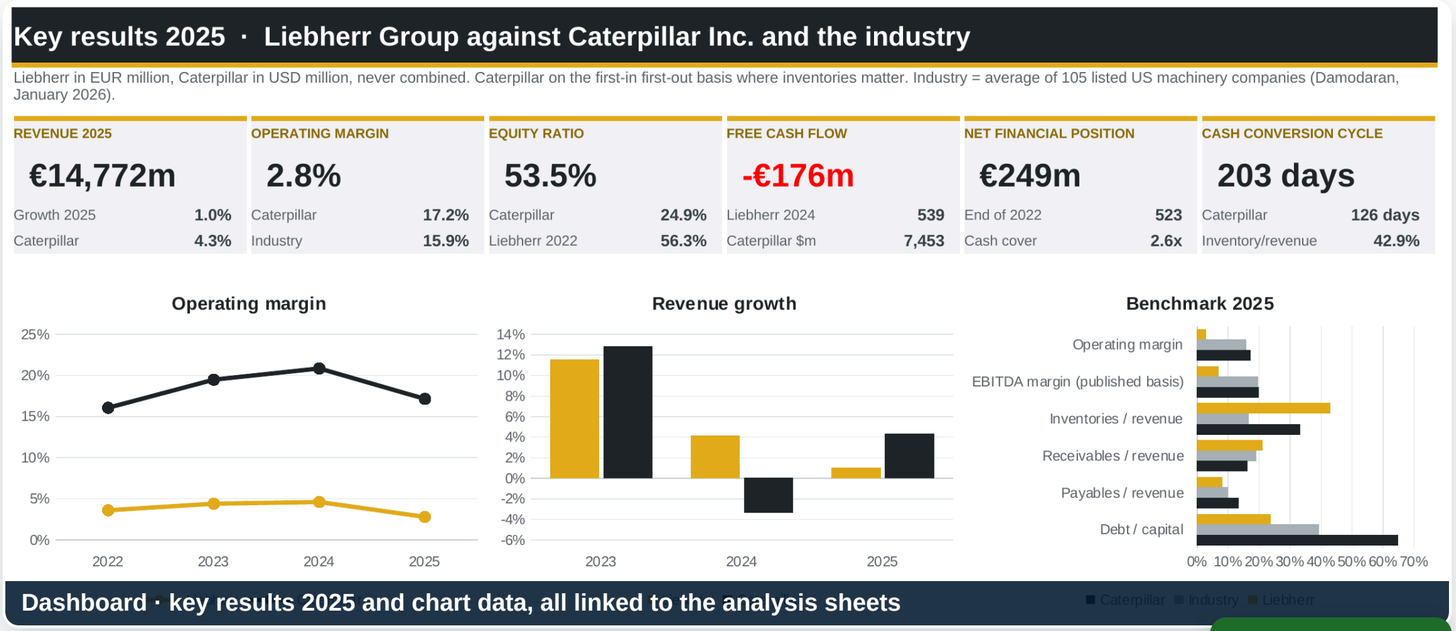
**C1–C2** — **Accounting adjustments**
LIFO → FIFO · goodwill · note data

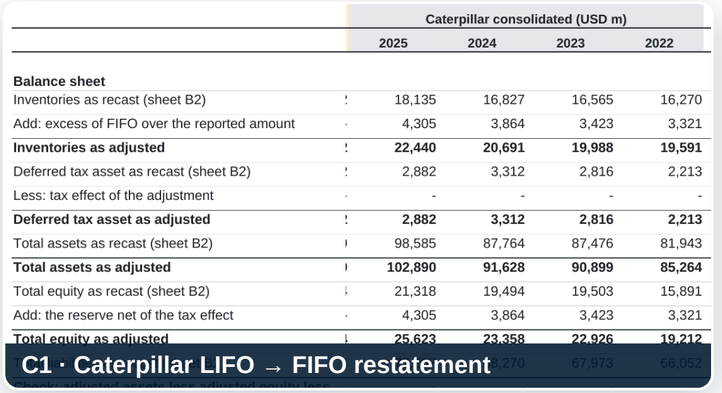
**D1–D11** — **Ratios, DuPont, sensitivities**
Benchmark, scenarios, dashboard

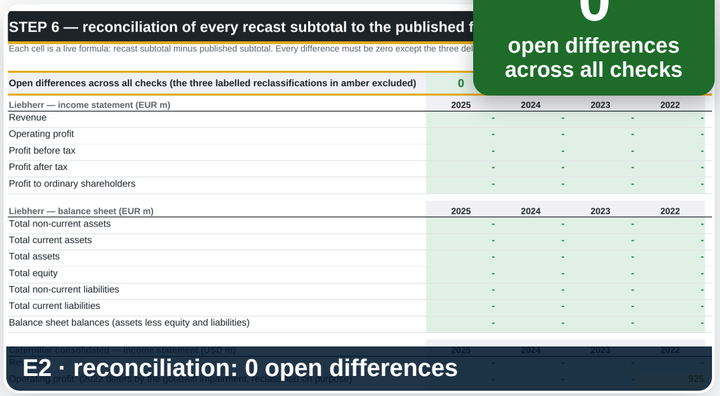
**E1–E2** — **Judgements and checks**
44 judgements · every subtotal reconciled

**Liebherr in €, Caterpillar in $ – never added or divided across companies. Comparisons rest on ratios within each group.**

SCREENSHOTS FROM THE WORKBOOK




**0**
**open differences across all checks**

Source: Excel workbook “Liebherr–Caterpillar restructured financial statements”, sheets Method, Dashboard, B1, C1, E1 and E2; Report §4.5 and Appendix K

# Not yet: none of the three conditions for a reassessment is met



**Reassess on the 2026 statements – and only if all three conditions are met. Meeting them triggers a new assessment, not an automatic purchase.**

**1** **Operating margin of at least 3.9 % (four-year average)**

Status 2025 — × 2.8 %

**2** **Free cash flow positive and, over time, covering distributions**

Status 2025 — × −€176 m

**3** **Information rights: audited statements and other operating expenses**

Status 2025 — × Not secured

**REWARD**

Resilient, diversified group · back to the 3.9 % average margin = **+€157 m** operating profit at 2025 revenue

**RISK AND LIMITS**

ROCE 3.5 % (pre-tax) vs. 7.70 % benchmark – needs a margin of ~6–8 % · minority stake: little influence, low payout, hard to sell

**No valuation in the report – any price would need a discount for a minority stake without a market.**

Source: Report §5.3, §5.7 and chapter 8, Table 3; Excel workbook, sheets D3, D10 and D11; benchmark: Damodaran (2026a)



CONCLUSION

# Financially strong. Operationally challenged.

**1** **The balance sheet is strong – and stays strong**

53.5 % equity ratio and 2.6× cash cover; still ≈ 50 % equity ratio in our depreciation sensitivity.

**2** **Returns and cash generation are too weak**

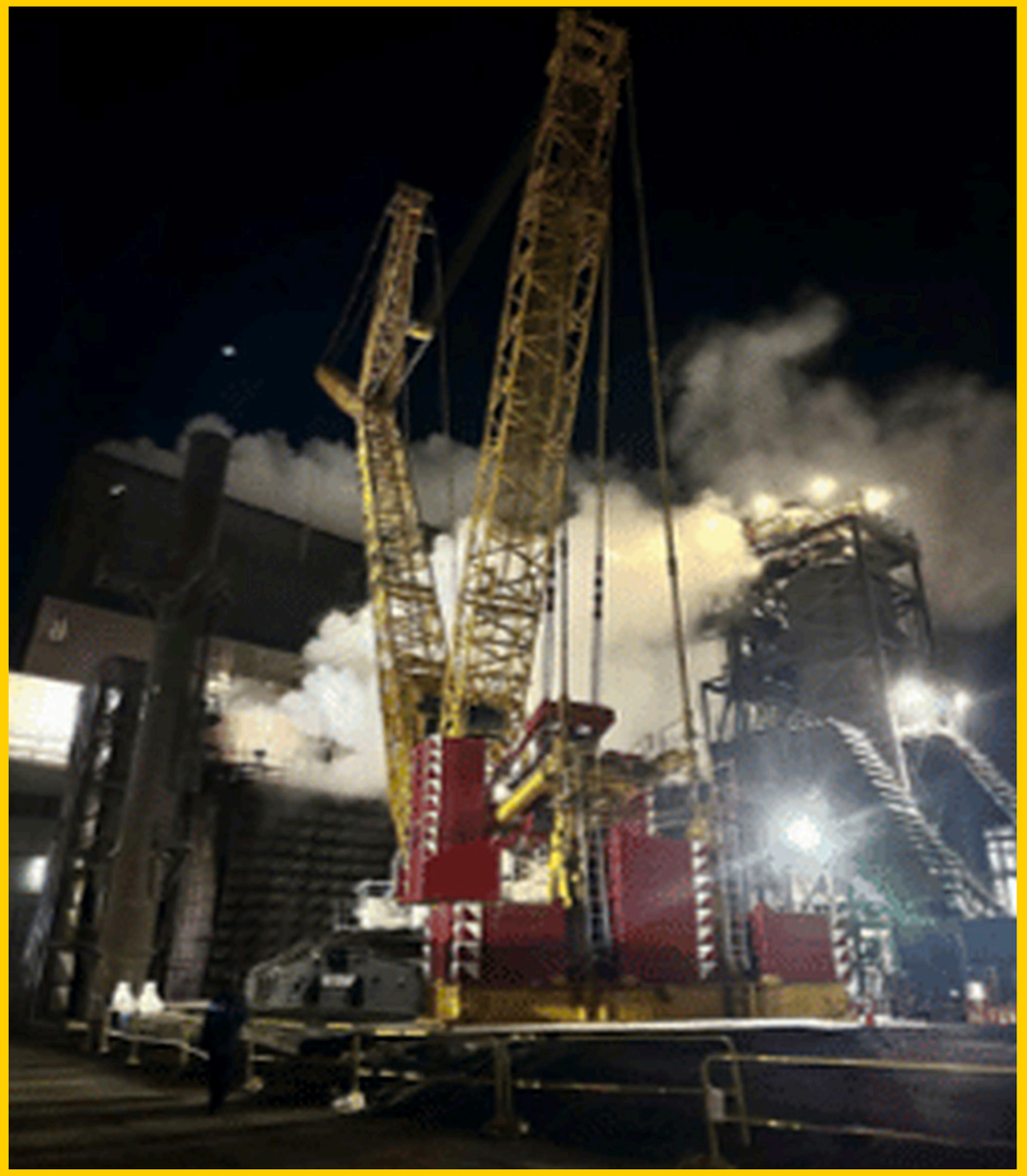
2.8 % margin, 12.5–16.2 pp below Caterpillar in every year; free cash flow negative in 3 of 4 years.

**3** **The accounting sharpens the verdict**

The measured effects point to a margin of 1.6–2.8 %, and key estimates cannot be verified from outside.

**Not yet: the investor should see the turn in the figures before committing capital.**

Source: Report chapters 7 and 8



# Thank you.

## Questions welcome.

**Liebherr: financially sound – not yet an adequate return.**

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